

NexaCore Technologies

Q1 2026 Executive Performance Report

Executive Summary

Q1 2026 marked a pivotal quarter for NexaCore Technologies. The company made significant upfront investments in AI infrastructure while simultaneously growing its SaaS subscriber base. Total SaaS revenue reached **\$36,800** across the quarter, representing growth from \$12,700 in January to \$14,600 in March. Despite heavy infrastructure spending, the strategic investments are expected to yield returns beginning Q2 2026.

Key highlight: The company closed its largest single transaction of the quarter — TXN-208 with Apex Systems at **\$11,000** — driven directly by the LinkedIn Ads campaign launched in early March.

Revenue Performance

SaaS Subscription Growth

SaaS remained the sole revenue-generating category in Q1. The business operates a three-tier subscription model (Startup, Professional, Enterprise). Monthly revenue progression was as follows:

Month	SaaS Revenue	No. of Transactions	Avg Deal Size
January 2026	\$12,700	2	\$6,350
February 2026	\$9,500	1	\$9,500
March 2026	\$14,600	2	\$7,300
Q1 Total	\$36,800	5	\$7,360

Capital Expenditure & Infrastructure

One-Time Hardware Investment (TXN-204)

In February 2026, the engineering team approved a one-time capital expenditure of **\$12,000** for the purchase of four high-performance GPU workstations (Transaction ID: TXN-204, dated 2026-02-05). This investment was necessary to establish local AI development environments for the RAG pipeline project. The expenditure explains the temporary suppression of net profit in February.

This \$12,000 hardware purchase is a non-recurring cost and should be excluded from month-over-month operating cost comparisons.

Cloud & GPU Infrastructure

Cloud infrastructure costs totalled **\$10,000** across two transactions in Q1:

- TXN-201 (Jan): AWS Reserved Instances — \$4,200
- TXN-207 (Mar): GPU Cluster Rental for RAG model training — \$5,800

The 38% increase in cloud spend from January to March (\$4,200 to \$5,800) is directly attributable to GPU cluster requirements for large language model fine-tuning. Management expects these costs to stabilise at approximately \$5,000/month in Q2 as reserved capacity agreements are finalised.

Marketing Strategy & Spend

Marketing spend increased substantially in Q3, peaking at **\$2,100** in March (TXN-208) due to the LinkedIn Ads campaign. The campaign directly generated the Apex Systems enterprise deal worth \$11,000 — a marketing ROI of approximately **424%** on that transaction alone.

Transaction	Month	Marketing Spend	Revenue Generated	ROI
TXN-202	January	\$600	\$8,200	1,267%
TXN-203	January	\$350	\$4,500	1,186%
TXN-205	February	\$900	\$9,500	956%
TXN-208	March	\$2,100	\$11,000	424%
TXN-209	March	\$420	\$3,600	757%

R&D; Expenditure

Two R&D; transactions were recorded in Q1, both related to the RAG architecture initiative:

- TXN-206 (Feb): OpenAI API Credits for LLM inference — \$1,800
- TXN-210 (Mar): Pinecone Vector Database subscription — \$480

Total R&D; spend of **\$2,280** represents 7.4% of total costs. Management expects this to grow as the AI product matures.

Q2 2026 Outlook

Based on Q1 performance, the following targets have been set for Q2 2026:

- SaaS revenue target: \$45,000 (22% growth over Q1)
 - Hardware capex: \$0 (no further one-time purchases planned)
 - Cloud costs: Expected to stabilise at \$5,000/month
 - New enterprise deals pipeline: 4 prospects at advanced negotiation stage
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